



Improving Accountability in Los Angeles Transit Infrastructure

WRIT 340

Jean Liang
jeanlian@usc.edu

Nicole Popenko
popenko@usc.edu

Philbert Loekman
ploekman@usc.edu

Spring 2026

66837



Table of Contents

1	Executive Summary	4
2	Introduction	5
3	Background	7
4	Problem	8
4.1	Underestimated Cost Estimates in LA Transportation Projects	8
4.2	Unchecked Cost Overruns in Transit Projects	9
4.2.1	Case 1: D Line Subway Extension	11
4.2.2	Case 2: LAX Automated People Mover (APM)	12
4.2.3	Case 3: California High-Speed Rail	13
4.3	Project Delays & Missed Deadlines	13
5	Solutions	16
5.1	Independent Cost Estimation	16
5.2	Voter-Approved Cost Caps	16
5.3	Milestone-Based Funding	17
6	Benefits	19
6.1	Independent Cost Estimation	19
6.2	Voter-Approved Cost Caps	19
6.3	Milestone-Based Funding	20
7	Next Steps	22
7.1	Policymakers & Project Managers	22
7.2	Residents	22
7.3	Future Planning	23



List of Figures

1	Planned Los Angeles Metrorail Expansion Under Measure M	5
2	LA Metro FY2026 Budget Allocation by Project Phase	8
3	How a Cost Overrun Moves Through LA Transit Funding	10
4	D Line Section 1 Budget Over Time	11
5	LAX Automated People Mover Budget Over Time	12
6	California High-Speed Rail (Phase 1) Budget Over Time	13
7	Planned vs. Actual Opening Dates for 3 LA Metro Projects	14
8	Voter-Approved Cost Cap Mechanism	17
9	LAX Automated People Mover Cumulative Cost Escalation 2019–2026 . . .	21



1 Executive Summary

Los Angeles is undertaking one of the largest public transportation expansions in the United States, supported by over \$120 billion in voter-approved funding through Measure R and Measure M. Despite this historic level of investment, the region's largest transit projects consistently fail to deliver on the cost, schedule, and performance commitments made to the public. The Westside Subway Extension, the LAX Automated People Mover, and the California High-Speed Rail project have each experienced significant cost growth and missed deadlines, in some cases by hundreds of percent and over a decade behind schedule. These outcomes are not isolated incidents but reflect structural weaknesses in how transportation projects are estimated, approved, and managed.

This white paper identifies 3 recurring failures in the current system:

1. Initial cost estimates are produced before sufficient technical information is available, resulting in baseline budgets that systematically understate true project costs.
2. Once funding is approved, agencies can absorb major cost overruns through internal board votes without returning to voters, removing a critical check on public spending.
3. Project funding is released without being tied to verified progress, allowing schedule delays to accumulate without formal review or consequence.

To address these failures, this paper proposes 3 targeted reforms:

1. Independent cost estimation by third-party firms would produce more accurate baseline budgets before any funding vote, drawing on empirical methods such as reference class forecasting that have reduced average cost overruns from 38% to 5% in the United Kingdom.
2. Voter-approved cost caps would establish legally binding budget ceilings at the time of approval, automatically suspending funding when costs exceed the cap and requiring either a supermajority board vote or a public ballot re-authorization to continue.
3. Milestone-based funding would release project budgets in phases tied to verified progress, ensuring that agencies must demonstrate completion of defined milestones before receiving additional funds.

Together, these reforms restore accountability at every stage of the project lifecycle: at planning through independent verification, at approval through binding cost limits, and during execution through phased funding tied to measurable progress. Implementation will require coordinated action from state and county legislators, agency leadership, and the residents who fund these projects through their tax dollars. With these changes in place, Los Angeles can build a transit system that delivers on the commitments made to its voters and supports the region's long-term mobility, economic, and environmental goals.



2 Introduction



Fig. 1. Planned Los Angeles Metrorail Expansion Under Measure M [1].

Los Angeles is undertaking one of the largest public transportation expansions in the United States, driven by voter-approved funding measures such as Measure R and Measure M (Fig. 1) [1]. These initiatives represent a long-term commitment of over \$120 billion to improve regional mobility, reduce congestion, and support economic growth [2]. Given the scale and importance of these investments, the successful delivery of transportation infrastructure is critical to the city's future.

However, the implementation of these projects has been consistently challenged by cost overruns, delays, and discrepancies between projected and actual outcomes. These issues raise concerns not only about financial efficiency but also about the effectiveness of current planning and oversight processes. When projects fail to meet expectations, the consequences



extend beyond budgetary concerns, affecting public trust and the credibility of future infrastructure initiatives.

This white paper examines the structural factors that contribute to these recurring challenges. It focuses on 3 key issues: inaccuracies in cost estimation, the lack of enforceable cost controls after project approval, and delays resulting from insufficient accountability during project execution. It then proposes targeted solutions aimed at improving transparency, strengthening financial discipline, and ensuring that transportation investments deliver their intended outcomes.



3 Background

Despite the scale of investment in Los Angeles' transportation system, the region has experienced a consistent pattern of underperformance in delivering large-scale infrastructure projects. Several high-profile projects illustrate these challenges and provide insight into the systemic issues affecting project development.

The California High-Speed Rail project, approved by voters in 2008, was initially estimated to cost approximately \$33 billion and intended to connect Northern and Southern California [3]. Today, projected costs have increased to over \$126 billion, and no fully operational segment has been completed [3]. Similarly, the LAX Automated People Mover (APM), designed to connect Los Angeles International Airport to regional transit and parking facilities, was originally budgeted at \$1.9 billion with a planned completion date of 2023 [4]. The project's cost has since grown to over \$3.34 billion, with an additional \$880 million in contractor-related settlement disputes, and it remains unfinished without a confirmed opening date [4].

These examples are not isolated but reflect broader systemic patterns in how infrastructure projects are conceived and managed. In many cases, initial cost estimates are presented before sufficient technical information is available, timelines are influenced by political commitments, and mechanisms for enforcing budget and schedule discipline are limited. As a result, projects often begin with unrealistic expectations and encounter significant challenges during execution.

At the same time, the demand for effective public transportation in Los Angeles continues to grow. Persistent traffic congestion, increasing population demands, and the approach of major international events such as the 2026 FIFA World Cup and the 2028 Olympic Games place additional pressure on the region's transit system to perform. To successfully build a public transportation network in Los Angeles in the future, it is important to understand these failures and why they occurred.



4 Problem

4.1 Underestimated Cost Estimates in LA Transportation Projects

Large transportation infrastructure projects in Los Angeles are often systematically underestimated in cost at the approval stage, resulting in unrealistic baseline budgets. A key reason for this is the mismatch between when cost estimates are made and when costs are actually incurred.

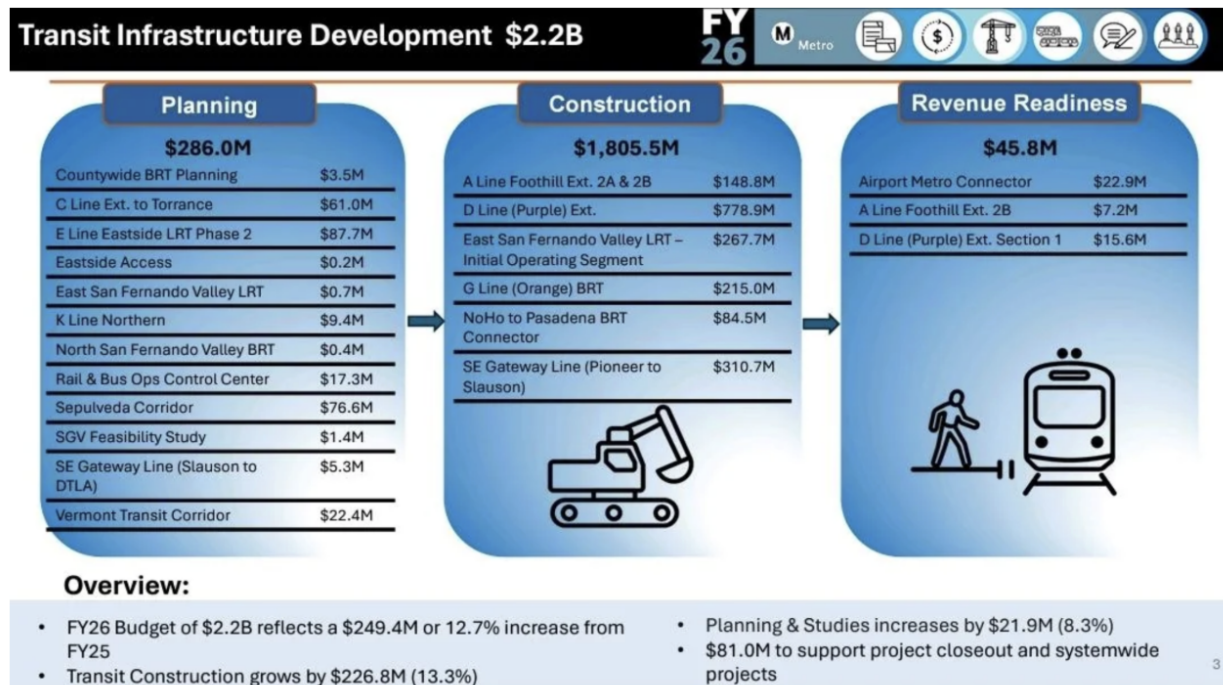


Fig. 2. LA Metro FY2026 Budget Allocation by Project Phase [5].

Fig. 2 shows LA Metro’s budget distribution across project phases, illustrating the disproportionate share of expenditures that occur during construction. Only a small portion of funding is dedicated to the planning phase — approximately \$286 million — while the majority of expenditures, over \$1.8 billion, occur later during construction [5]. This means that initial cost estimates are developed early in the project lifecycle, when engineering designs are incomplete, and major uncertainties remain unresolved.

Projects such as Metro rail line extensions, subway segments along corridors like Wilshire Boulevard, and airport connector systems involve complex engineering conditions that are difficult to assess fully at this stage [6]. However, these early estimates are frequently presented as precise figures despite relying on incomplete design data. These estimates are not purely technical; they are shaped by institutional and political incentives to secure funding through voter-approved measures like Measure M [2]. Because these measures require clearly defined project costs before public approval, agencies are incentivized to present lower, more politically acceptable numbers.



In reality, early projections often fail to account for major cost drivers specific to Los Angeles transit construction, including utility relocation beneath dense urban corridors, tunneling challenges, seismic safety requirements, and high union labor costs [7]. This is largely attributed to strategic misrepresentation, where costs are intentionally understated, as well as broader political and organizational pressure to ensure projects are approved [7]. As a result, major transit projects in Los Angeles begin with flawed financial baselines that make cost overruns highly likely.

4.2 Unchecked Cost Overruns in Transit Projects

Cost overruns that expand beyond initial voter or board approval represent a major source of waste in Los Angeles transportation infrastructure. Once a project secures funding through a ballot measure or board vote, agencies are generally permitted to absorb additional costs without returning to voters. This removes a critical check on government spending.

The scale of this problem in Los Angeles is significant because of how local transit is funded. More than half of LA Metro's annual revenue comes from voter-approved sales taxes, primarily Measure R (a 0.5% sales tax approved by LA County voters in 2008) and Measure M (an additional 0.5% sales tax approved in 2016) [8]. Both measures listed specific projects with specific cost estimates on the ballot, but neither requires Metro to return to voters when those costs grow. As a result, the figures presented to voters at the ballot box rarely reflect what projects ultimately cost to build.

This dynamic is reinforced at the federal level as well. Many LA Metro projects are partly paid for through the Federal Transit Administration's New Starts program, a competitive grant program that funds new rail and bus rapid transit projects across the country. Research on New Starts projects has consistently identified an "optimism bias" in the cost estimates agencies submit to win funding, meaning estimates tend to be systematically lower than what projects actually cost [9]. A study published in the Journal of the American Planning Association found that this bias is institutional rather than incidental because agencies have organizational incentives to produce predictions that promote the project rather than accurate predictions [10].



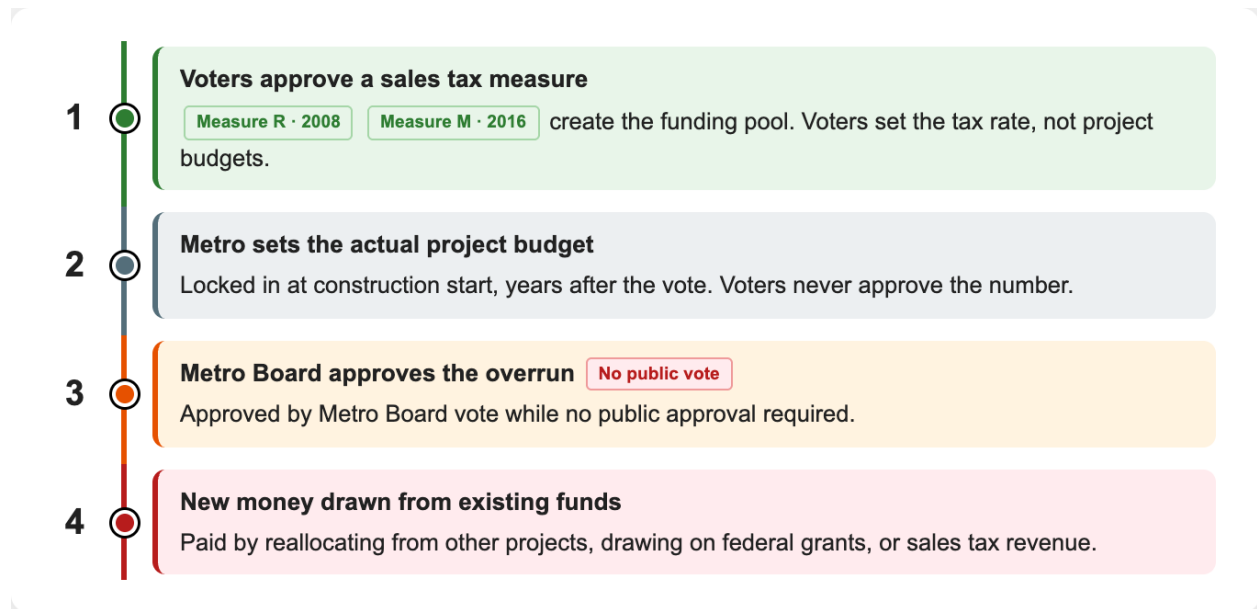


Fig. 3. How a Cost Overrun Moves Through LA Transit Funding: Voters approve the tax pool but never approve project budgets, allowing Metro to absorb overruns through internal board votes without returning to the public.

The U.S. Government Accountability Office, the federal agency that audits how government money is spent, reached a similar conclusion. Its review of U.S. rail transit projects found that overruns are systematically tied to initial cost estimates being set too low and that current federal oversight does not adequately limit post-approval budget increases [11]. As a result, projects in Los Angeles frequently start construction with budgets that are known to be unreliable. This resulted in overruns being normalized as a standard behavior for projects rather than treated as failures. The structural pipeline that allows this to happen is shown in Fig. 3, where voter approval of a tax pool is separated from the project budgets that actually spend it.



4.2.1 Case 1: D Line Subway Extension

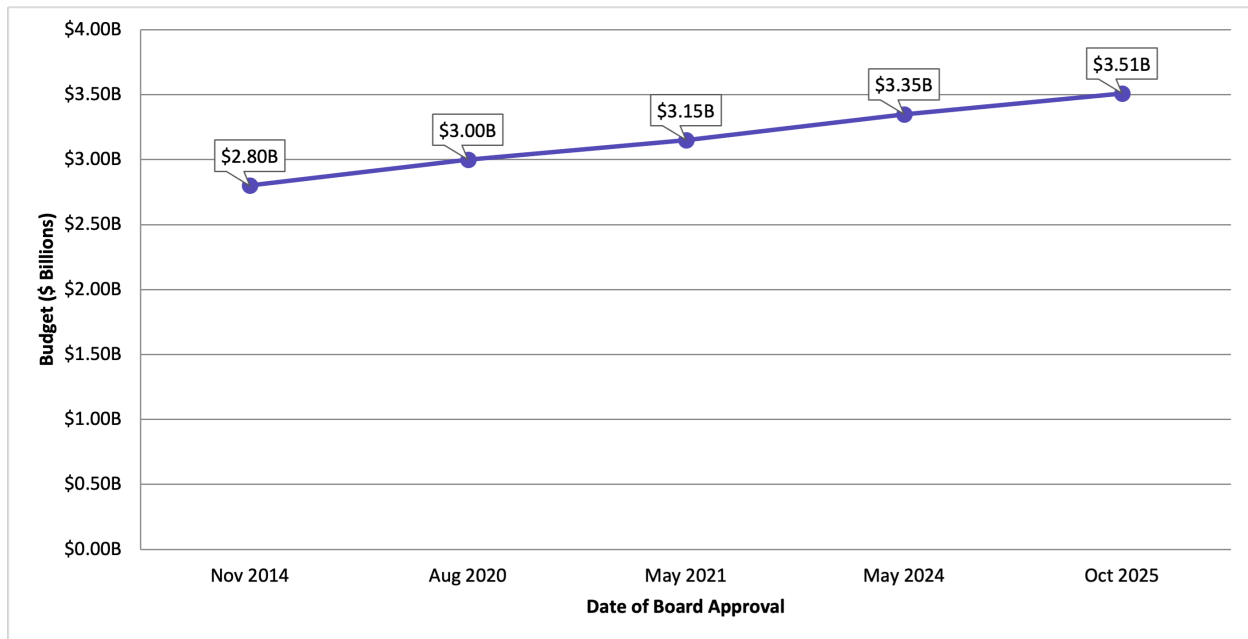


Fig. 4. D Line Section 1 Budget Over Time: Budget grew from \$2.80 billion to \$3.51 billion between 2014 and 2025, a 25% increase across four Metro Board votes with no voter re-authorization [12].

This pattern of unchecked post-approval cost growth is evident in several major Los Angeles transportation projects. The Westside Subway Extension, also known as Section 1 of the D Line (Purple Line), was originally budgeted at approximately \$2.80 billion when construction began in 2014. Since then, the Metro Board has approved multiple cost increases without a public revote, raising the projected total to roughly \$3.51 billion (as shown in Fig. 4) [8, 12].



4.2.2 Case 2: LAX Automated People Mover (APM)

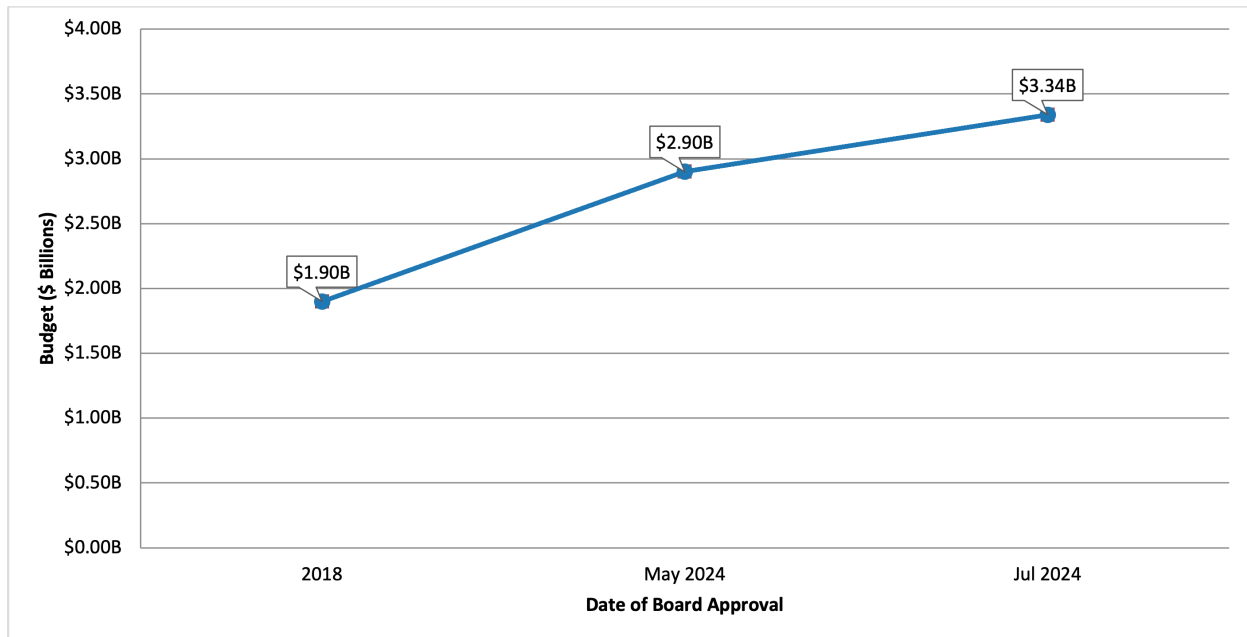


Fig. 5. LAX Automated People Mover Budget Over Time: Budget grew from \$1.90 billion to \$3.34 billion between 2018 and 2024, a 76% increase, with an additional \$880 million in contractor disputes still unresolved [13, 14, 15].

The LAX Automated People Mover, the elevated train system being built to connect Los Angeles International Airport to nearby parking and transit, was originally estimated at \$1.9 billion. Today its cost has grown to \$3.34 billion, with an additional \$880 million in contractor settlement disputes, despite the fact that the project remains unfinished as of early 2026 (as shown in Fig. 5) [16].



4.2.3 Case 3: California High-Speed Rail

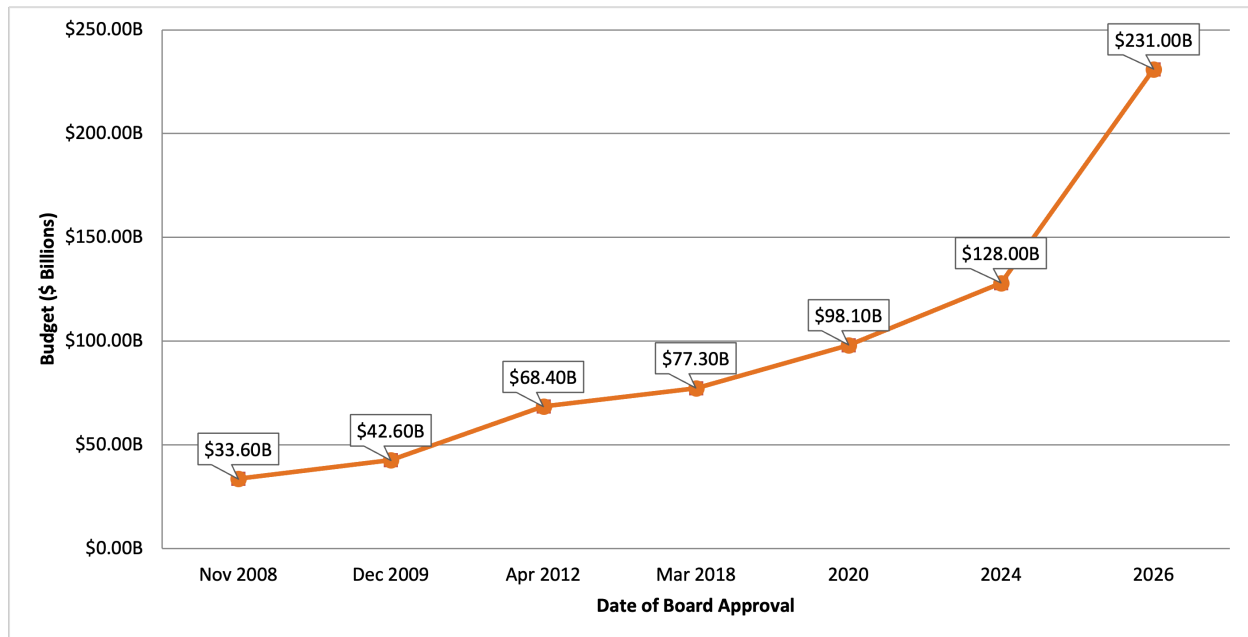


Fig. 6. California High-Speed Rail (Phase 1) Budget Over Time: Cost estimate grew from \$33.6 billion to \$231 billion between 2008 and 2026, a 588% increase, with no track segments operational [17, 18, 19, 20].

At the state level, the California High-Speed Rail project provides the clearest example of what happens when large infrastructure is approved without binding cost limits. In 2008, California voters authorized a \$9.95 billion bond to support the project, which was then estimated at approximately \$33 billion in total (as shown in Fig. 6) [21, 20]. The projected total cost has since escalated to over \$231 billion, and no track segments are operational [21, 20]. The Government Accountability Office found that this escalation was facilitated in part by the absence of an independent cost estimation requirement at the federal level for high-speed rail, which allowed initial figures to advance without external verification [21].

These 3 cases demonstrate that without enforceable cost ceilings, projects are able to expand beyond the financial promises originally made to voters.

4.3 Project Delays & Missed Deadlines

While cost overruns can be seen in budget changes and board votes, delays in project completion often happen without public notice. Timelines quietly get changed and opening dates get pushed back repeatedly, without clear transparency or justification being provided to local voters. Instead of recognizing delays as a problem to fix, these tendencies make late delivery of public projects appear overly normalized.



Original planned opening vs. actual/projected opening date

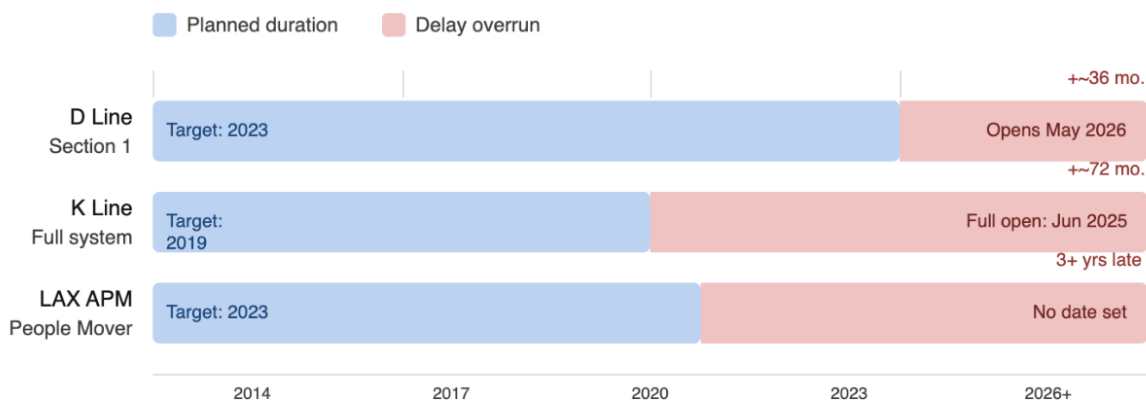


Fig. 7. The planned opening dates for 3 LA Metro infrastructure projects compared to the actual opening dates. Blue bars indicate the originally planned construction durations and pink bars indicate delay overruns [22, 23, 24, 25, 26].

In general, schedule overruns in large infrastructure projects are a global issue. A study by the McKinsey Global Institute which investigated over 500 large infrastructure projects internationally, found that these large projects can take 20 percent longer to finish and cost up to 80 percent more than initially planned [27]. However, in Los Angeles infrastructure projects tend to be delayed by much longer than just 20%. In Fig. 7, there is a comparison between planned duration and the actual timelines for 3 recent infrastructure projects in Los Angeles, each of which delayed by more than 20%.

The LAX Automated People Mover (APM), was supposed to finish in 2023, but has faced numerous delays and has no set opening date as of March 2026 [28]. A report from the LA County Civil Grand Jury in 2025 indicated that the APM project was slowed by poor relations and weak conflict resolution between Los Angeles World Airports and its construction contractors for the project: Fluor, Balfour Beatty, Flatiron, and Dragados [29]. The Jury also found that this consortium of contractors used these issues to get the city to pay hundreds of millions of dollars to settle the disputes [29]. This delay is much more than an inconvenience. The APM was meant to mitigate the surplus of tourism and visitors expected for the 2026 FIFA World Cup and the 2028 Olympic Games, and its repeated delay hurts the city's ability to accommodate the events it has promised to host, in addition to its local taxpayers.

The California High-Speed Rail project is an example of a state-level project that was supposed to improve public transport connectivity between Los Angeles and the rest of California. Voters approved it in 2008 with a \$33 billion budget and a goal to finish by 2020, but now the cost is estimated at \$126.2 billion, and no high-speed track has been built yet [30]. A Federal Railroad Administration review found that deadlines have been missed, ridership estimates have dropped, and there is no realistic way for the first segment to be running by 2033, even though the project has received about \$6.9 billion in federal funding over 15 years [31]. This shows what can happen when there are no clear milestones tied to funding:



agencies keep using approved money even if real progress is not being made.

A core driver of schedule slippage in Los Angeles projects is the disconnect between construction funding and performance accountability. After a project is approved and construction starts, agencies usually do not have to show that they finished certain phases before getting more funding. This removes a key reason to finish on time. Research shows that the longer a project takes, the more likely costs will rise quickly. For example, a one-year delay on a project like London's \$26 billion Crossrail could add about \$3.3 million in extra costs each day [32]. In Los Angeles, where projects are paid for by long-term sales taxes approved by voters, this setup lets delays pile up without any formal review.



5 Solutions

5.1 Independent Cost Estimation

To address systematic underestimation in transportation projects, Los Angeles transit agencies should be required to implement independent cost estimation before project approval. This would involve mandating third-party, non-affiliated auditing firms to produce separate cost forecasts for projects such as Metro rail expansions, bus rapid transit corridors, and major station developments. These firms must operate independently from LA Metro, Caltrans, and any private contractors involved in bidding or construction to eliminate conflicts of interest.

Independent estimates should be developed using standardized methodologies such as reference class forecasting, which compares proposed projects to similar completed transit projects, and risk-adjusted modeling that accounts for uncertainties common in urban infrastructure [33]. This approach has been successfully implemented in the United Kingdom, where reforms to the Treasury's Green Book in 2003 required all major infrastructure projects to incorporate empirically based cost adjustments derived from historical data [33]. Under this system, agencies must apply a required cost uplift based on the typical overruns of comparable projects [33]. For example, adding a 40% increase if similar rail projects historically exceeded budgets by that amount. Funding approval is contingent on applying these adjustments, ensuring that estimates reflect realistic conditions rather than optimistic projections.

Specifically, these forecasts should incorporate contingency allowances for tunneling risks, right-of-way acquisition in densely populated areas, relocation of underground utilities, and fluctuations in construction material and labor costs in Southern California [7]. Both the agency's internal estimate and the independent estimate should be publicly released before any funding vote, including ballot measures or Metro board approvals. This ensures that decision makers and voters are evaluating projects based on realistic financial expectations.

5.2 Voter-Approved Cost Caps

To address the issue of unchecked cost expansion after project approval, Los Angeles voter-approved transportation measures should be required to include legally binding cost caps for each major project listed in the expenditure plan. A cost cap is a maximum allowable budget assigned to a project at the time of voter approval. It would be calculated as the independently verified cost estimate plus a defined contingency percentage to account for reasonable construction risk such as weather delays or material price changes.

If projected or actual costs exceed this cap by a predetermined threshold, project funding would be automatically suspended. From there, 1 of 2 outcomes would be required to continue the project:

1. A public ballot re-authorization for any budget increase



2. For smaller breaches, a formal public hearing followed by a supermajority vote of the Metro Board of Directors

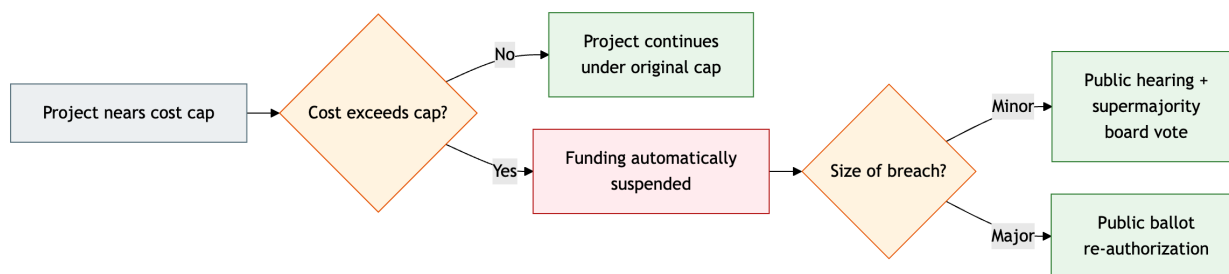


Fig. 8. Voter-Approved Cost Cap Mechanism: When a project's cost exceeds its voter-approved cap, funding is automatically suspended and continued spending requires either a supermajority Metro Board vote with a public hearing for minor breaches, or a public ballot re-authorization for major breaches.

This creates a structural stopping point that does not currently exist (Fig. 8).

This mechanism aligns with the research on accountability in megaprojects, which finds that meaningful cost discipline is achieved only when financial commitments are tied to enforceable approval gates rather than advisory oversight [34].

Implementation in Los Angeles should be paired with regulatory amendments to Measure M and any successor ballot measures. These amendments would require that all major capital projects above a defined cost threshold be subject to the cap mechanism. Compliance would be verified by an independent oversight body that operates separately from LA Metro's internal Office of Inspector General to avoid conflicts of interest.

5.3 Milestone-Based Funding

Agencies should be required to implement staged, milestone-based funding structures for all major capital projects. Under this model, project budgets would not be released in a single upfront authorization. Instead, funding would be disbursed in defined phases, each tied to the verified completion of specific, measurable milestones — such as completion of environmental review, finalization of design documents, completion of utility relocation, or the end of a defined construction phase.

To release a new round of funding, a review from investigators independent of LA Metro's Office of Inspector General would be required to verify that the previous phase of the project was completed on time and within its approved budget. If a milestone is missed by a set amount of time or funding, the next round of funding would be withheld until a reviewed and approved plan is in place to resolve the problem going forward.

There is strong evidence from many industries that this approach works. Milestone-based financing connects funding to real progress, giving out money in stages based on clear,



measurable goals instead of one large payment [35]. This would ingrain regular checkpoints in the projects that distribute accountability throughout the timeline of their execution. It also creates accountability and lowers financial risk for the LA Metro Office, the contractors, and the public.

In practice, every LA Metro project over a set cost to the public should be planned with a defined milestone schedule before it gets approved by voters or the board. This schedule would divide the project into construction phases, expected completion dates and budgets for each phase, and defined standards that will be used to verify that a phase is complete. Both the schedule and the results of each phase review can be made public to regularly give residents and policymakers transparent checkpoints that track project progress.



6 Benefits

6.1 Independent Cost Estimation

Implementing independent cost estimation for transportation projects would produce more accurate baseline budgets for major transit investments, reducing the likelihood of systematic underestimation. By incorporating historical data from comparable rail and transit projects and explicitly accounting for region-specific risks, independent forecasts would better reflect the true cost of building infrastructure in Los Angeles. This improves not only technical accuracy but also the credibility of the planning process, allowing agencies to set more realistic expectations from the outset.

Empirical evidence demonstrates the effectiveness of this approach. In the United Kingdom, the adoption of reference class forecasting and mandatory cost adjustments reduced average cost overruns from approximately 38% to just 5%, illustrating how externally enforced, data-driven estimation can significantly improve project accuracy [33].

In addition, greater transparency in cost estimation ensures that both policymakers and the public have access to reliable financial information before committing funds. When cost projections are clearly presented and independently verified, voters can make more informed decisions on measures like Measure M, and elected officials can better evaluate trade-offs between competing projects. Transparent estimates also strengthen public trust, as they reduce perceptions that agencies are concealing true costs or manipulating figures for approval.

More accurate and transparent cost estimates also improve long-term project outcomes. With realistic budgets established early, agencies can reduce the need for major revisions, emergency funding requests, or politically contentious renegotiations later in the project lifecycle. Ultimately, this leads to better resource allocation across the transportation system, ensuring that limited public funds are directed toward projects that are both financially viable and aligned with public priorities.

6.2 Voter-Approved Cost Caps

Voter-approved cost caps would prevent the unchecked budget expansion that currently characterizes major Los Angeles transportation projects. By assigning each project a legally binding ceiling at the time of approval, agencies would be unable to absorb large overruns through internal board action alone. This removes the structural permission that has allowed projects like the D Line Extension and the LAX Automated People Mover to grow well beyond their initial budgets [8, 16].

The cap also shifts the financial risk of inaccurate forecasting back onto the agencies and contractors responsible for producing those forecasts. Currently, the cost of an inaccurate estimate is borne entirely by taxpayers. Under a cap system, agencies would face direct consequences when their estimates prove unreliable, which changes the incentive structure at the planning stage.



Cost caps would also force greater financial discipline and more realistic planning at the proposal stage. When agencies and contractors know that exceeding a defined budget will trigger a public re-authorization process, they have a stronger incentive to produce accurate baseline estimates rather than optimistic figures designed to secure approval. This addresses the optimism bias that researchers have documented in federally-funded transit projects [9, 10].

Cost caps would also strengthen accountability to taxpayers by ensuring that public funds are used in a manner consistent with voter intent. In Los Angeles, ballot measures have become the primary planning mechanism for transit investment. Research from UCLA has found that these voter-approved measures have influenced the development of the regional transportation system more than the formal planning processes that are supposed to guide it [36]. If voters cannot trust that agreement, the funding system loses its legitimacy.

A binding cost cap protects this agreement by ensuring voters are not committed to open-ended financial obligations. Any major deviation from the original spending plan must be justified to the public through a renewed approval process, so the promises made on the ballot continue to hold weight after the votes are counted.

6.3 Milestone-Based Funding

Staged funding would tackle the root causes that let schedule failures continue in Los Angeles transportation projects. By requiring proof of progress before giving out more funding, it stops agencies from using approved budgets without meeting real construction goals. This gives a strong reason to finish work on time, which is missing in the current system. Engineering firms and contractors will be more accountable for their work, and if they do not meet their goals the rest of the funding can be withheld, renegotiated, or cancelled [35]. Tying funding to milestones establishes clearly defined goals and consequences which encourage better performance and focus on results.





Fig. 9. The cumulative cost escalation of the LAX Automated People Mover from 2019 to 2026+. The blue bars represent the original construction budget of \$1.9B established when the project started, the orange segments represent dispute and claim settlements, including a \$400M settlement approved in July 2024 [37] and \$200M in earlier dispute costs [38], and the pink segments represent additional overruns beyond settled claims [39, 40].

Better schedule accountability would also help lower the rising costs caused by delays. In large projects worldwide, falling behind schedule leads to higher costs from longer contractor agreements, more change orders, inflation on materials, and extra administrative work [32]. Fig. 9 shows the compounding costs of the LAX APM that increased how much the project cost the public every year that it was delayed past the planned 2023 opening date. A milestone system makes agencies address schedule risks sooner, when problems are easier and cheaper to fix, instead of letting delays build up until they are hard to admit or solve, like they did in the case of the LAX APM.

Staged funding would also provide more transparency for government and public officials. Currently, project status information is dispersed across different agencies and rarely gets directly shared with residents in a transparent manner. However, milestone-based systems require agencies to provide regular, public reports on each phase to receive further funding. This would give residents, officials, and the media a clear, consistent way to judge the progress of a project and make it harder for delays to go unnoticed.

7 Next Steps

The solutions outlined in this paper, independent cost estimation, voter-approved cost caps, and milestone-based funding, cannot be implemented all at once. Each requires political support, regulatory amendments, and incremental rollout that can be tested and refined through real-world projects before being applied system-wide. Building public accountability into Los Angeles transit infrastructure is a long-term effort that depends on coordinated action from policymakers, project managers, and residents.

7.1 Policymakers & Project Managers

The first stage of implementation falls on the elected officials and agency leaders who set the legal framework for transit funding. State and county legislators should introduce reforms that require independent third-party cost estimation for all transportation projects above a defined cost threshold, with both the agency's internal estimate and the independent estimate made public before any funding vote. Future ballot measures should be drafted to include legally binding cost caps for each major project, along with automatic re-authorization triggers if costs exceed those caps by a set percentage. In parallel, contracting practices should be revised to maintain competitive pressure on engineering firms after they win bids, such as through performance-based fee structures tied to milestone delivery rather than total project cost.

To support these structural reforms, LA Metro and Los Angeles World Airports should jointly develop a public-facing project dashboard that consolidates budget, schedule, and milestone data for every major capital project into a single canonical source. Monthly public forums should be scheduled so residents, stakeholders, and policymakers can track progress, monitor spending, and raise concerns before small problems become large ones. These forums would also satisfy the public reporting requirements built into a milestone-based funding system.

7.2 Residents

Once the dashboard and forums are established, residents have an active role to play in sustaining accountability. This includes attending monthly meetings, reviewing the public budget and milestone reports, and submitting public records requests on projects that appear to be falling behind, such as the LAX Automated People Mover or ongoing Metro rail extensions. Residents can also organize through neighborhood councils and advocacy groups to push for re-authorization votes when projects approach their cost caps, ensuring that the mechanisms described in this paper are actually exercised rather than left dormant. Public engagement is what gives oversight tools their force, and without it, even well-designed reforms can be quietly ignored.



7.3 Future Planning

Before launching new large-scale projects, the city should conduct formal post-completion reviews of past projects, both successes and failures, to identify what specific conditions led to on-time, on-budget delivery and what conditions led to overruns. These reviews should be published and incorporated into the reference class data used by independent cost estimators, creating a feedback loop that makes each future estimate more accurate than the last. Over time, this process would shift Los Angeles toward a planning culture grounded in empirical evidence from its own infrastructure history rather than optimistic forecasts produced under political pressure.

Implementing these reforms will not eliminate every cost overrun or delay, and large infrastructure projects will always carry some degree of unavoidable risk. However, the recurring failures documented in this paper are not the result of unavoidable risk. They are the predictable outcome of a system that lacks enforceable accountability at every stage. By tying funding to verified progress, cost estimates to independent verification, and budget growth to renewed public consent, Los Angeles can build a transit system that delivers on the promises made to its voters.



References

- [1] D. Newton, “A visual representation of L.A.’s rail growth under Measure M,” Streetsblog Los Angeles, August 2016, accessed: Apr. 27, 2026. [Online]. Available: <https://la.streetsblog.org/2016/08/29/a-visual-representation-of-l-a-s-rail-growth-under-measure-m>
- [2] E. Elkind, “Measure M won’t fix L.A.’s transit problems if we waste the money,” Los Angeles Times, March 2017, accessed: May 3, 2026. [Online]. Available: <https://www.latimes.com/opinion/livable-city/la-ol-metro-elkind-measure-m-transit-waste-20170317-story.html>
- [3] KTLA, “California high-speed rail announces accelerated timeline for milestone work,” KTLA 5 News, August 2025, accessed: May 3, 2026. [Online]. Available: <https://ktla.com/news/california/california-high-speed-rail-announces-accelerated-timeline-for-milestone-work/>
- [4] ABC7 Los Angeles, “LAX people mover’s budget increases \$400 million amid ongoing delays,” ABC7, July 2024, accessed: May 3, 2026. [Online]. Available: <https://abc7.com/post/lax-people-movers-budget-increases-400-million-amid/15071618/>
- [5] Los Angeles County Metropolitan Transportation Authority, “Fiscal year 2026 proposed budget book,” April 2025, accessed: May 3, 2026. [Online]. Available: <https://www.railwayage.com/wp-content/uploads/2025/05/Fiscal-Year-2026-Proposed-Budget-Book.pdf>
- [6] Metro Magazine, “L.A. board approves 4 major projects to move forward,” Metro Magazine, 2024, accessed: May 3, 2026. [Online]. Available: <https://www.metro-magazine.com/news/l-a-board-approves-4-major-projects-to-move-forward>
- [7] B. Flyvbjerg, M. K. Skamris Holm, and S. L. Buhl, “Underestimating costs in public works projects: Error or lie?” *Journal of the American Planning Association*, vol. 68, no. 3, pp. 279–295, 2002.
- [8] M. Manville, “Measure M and the potential transformation of mobility in Los Angeles,” University of California Institute of Transportation Studies, ITS Report, December 2018, accessed: Apr. 15, 2026. [Online]. Available: <https://escholarship.org/uc/item/3t41j8gv>
- [9] C. T. Voulgaris, “Crystal balls and black boxes: Optimism bias in ridership and cost forecasts for New Starts rapid transit projects,” Ph.D. dissertation, University of California, Los Angeles, 2017, proQuest ID: Voulgaris_ucla.0031D.15359. Merritt ID: ark:/13030/m5cs0npj. Accessed: Apr. 15, 2026. [Online]. Available: <https://escholarship.org/uc/item/1478s66b>
- [10] C. T. Voulgaris, “What is a forecast for? Motivations for transit ridership forecast accuracy in the federal New Starts program,” *Journal of the American Planning*



- Association*, vol. 86, no. 4, pp. 458–469, 2020, accessed: Apr. 15, 2026. [Online]. Available: <https://doi.org/10.1080/01944363.2020.1746191>
- [11] U.S. Government Accountability Office, “Rail transit: Federal Transit Administration could improve information on estimating project costs,” U.S. Government Accountability Office, Tech. Rep. GAO-19-562, July 2019, accessed: Apr. 15, 2026. [Online]. Available: <https://www.gao.gov/products/gao-19-562>
- [12] J. Linton, “Metro to open D Line subway extension by march 2026,” Streetsblog Los Angeles, October 2025, accessed: Apr. 24, 2026. [Online]. Available: <https://la.streetsblog.org/2025/10/15/metro-to-open-d-line-subway-extension-by-march-2026>
- [13] City News Service, “LA council committee approves \$400 million for LAX automated people mover,” ABC7 Los Angeles, August 2024, accessed: Apr. 24, 2026. [Online]. Available: <https://abc7.com/post/la-council-committee-approves-400-million-lax-automated-people-mover/15159586/>
- [14] City News Service and M. Cortés Castro, “Airport commission approves \$400M for LAX people mover: Here’s the updated project timeline,” NBC Los Angeles, July 2024, accessed: May 2, 2026. [Online]. Available: <https://www.nbclosangeles.com/news/local/lax-people-mover-construction/3462969/>
- [15] K. Harjai, “The LAX automated people mover is long delayed and \$880M over budget: Here’s what went wrong,” LAist, October 2025, accessed: May 2, 2026. [Online]. Available: <https://laist.com/news/transportation/lax-people-mover-delay-grand-jury-report>
- [16] K. Jackson, “LAX people mover is yet another infrastructure failure in CA,” Pacific Research Institute, March 2026, accessed: Apr. 15, 2026. [Online]. Available: <https://www.pacificresearch.org/lax-people-mover-is-yet-another-infrastructure-failure-in-ca/>
- [17] J. Davis, “Timeline of California high-speed rail cost estimates,” Eno Center for Transportation, March 2018, accessed: May 2, 2026. [Online]. Available: <https://enotrans.org/article/timeline-california-high-speed-rail-cost-estimates/>
- [18] Taxpayers for Common Sense, “California’s rail project costs more than double,” Taxpayers for Common Sense, November 2011, accessed: May 2, 2026. [Online]. Available: <https://www.taxpayer.net/transportation-infrastructure/californias-rail-project-costs-more-than-double-are-federal-taxpayers/>
- [19] L. Ohanian, “On the verge of losing \$4 billion in federal funds, high speed rail should have been stopped long ago,” Hoover Institution, June 2025, accessed: May 2, 2026. [Online]. Available: <https://www.hoover.org/research/verge-losing-4-billion-federal-funds-high-speed-rail-should-have-been-stopped-long-ago>
- [20] S. Stevenson, “California high-speed rail price tag explodes,” Newsweek, April 2026, accessed: May 2, 2026. [Online]. Available: <https://www.newsweek.com/california-high-speed-rail-price-tag-cost-11892797>



- [21] U.S. Government Accountability Office, “California high-speed passenger rail: Project estimates could be improved to better inform future decisions,” U.S. Government Accountability Office, Tech. Rep. GAO-13-304, March 2013, accessed: Apr. 15, 2026. [Online]. Available: <https://www.gao.gov/assets/gao-13-304.pdf>
- [22] Los Angeles County Metropolitan Transportation Authority, “D Line Extension (Purple Line) Section 1,” LA Metro, May 2026. [Online]. Available: <https://www.metro.net/projects/d-line-extension-section-1/>
- [23] Wikipedia contributors, “K Line (Los Angeles Metro),” Wikipedia, The Free Encyclopedia, 2025. [Online]. Available: [https://en.wikipedia.org/wiki/K_Line_\(Los_Angeles_Metro\)](https://en.wikipedia.org/wiki/K_Line_(Los_Angeles_Metro))
- [24] LAist Staff, “K Line and LAX people mover updates,” LAist, 2026. [Online]. Available: <https://laist.com>
- [25] Wikipedia contributors, “LAX Automated People Mover,” Wikipedia, The Free Encyclopedia, 2026. [Online]. Available: https://en.wikipedia.org/wiki/LAX_Automated_People_Mover
- [26] Fox 11 Staff, “LAX people mover testing began April 2026, no open date set,” Fox 11 Los Angeles, April 2026. [Online]. Available: <https://www.foxla.com>
- [27] McKinsey & Company, “Optimizing performance in infrastructure project delivery,” McKinsey & Company, July 2017, accessed: Apr. 15, 2026. [Online]. Available: <https://www.mckinsey.com/capabilities/operations/our-insights/optimizing-performance-in-infrastructure-project-delivery>
- [28] Wikipedia contributors, “SkyLink (Los Angeles International Airport),” Wikipedia, The Free Encyclopedia, 2026, accessed: May 1, 2026. [Online]. Available: https://en.wikipedia.org/wiki/LAX_Automated_People_Mover
- [29] D. Torres, “The LAX automated people mover is long delayed and \$880M over budget: Here’s what went wrong,” LAist, October 2025, accessed: Apr. 15, 2026. [Online]. Available: <https://laist.com/news/transportation/lax-people-mover-delay-grand-jury-report>
- [30] R. Labi, “California high-speed rail authority misses deadline for plan,” The Center Square, May 2026, accessed: May 2, 2026. [Online]. Available: https://www.thecentersquare.com/california/article_577b0968-71f2-4818-9ecd-cb952ee6e3d0.html
- [31] U.S. Department of Transportation, Federal Railroad Administration, “FRA compliance review: California High-Speed Rail Authority,” U.S. Department of Transportation, Federal Railroad Administration, Washington, D.C., Tech. Rep., June 2025, accessed: Apr. 15, 2026. [Online]. Available: <https://www.transportation.gov/briefing-room/trumps-transportation-secretary-sean-p-duffy-releases-report-exposing-no-viable-path>



- [32] Foresight, “The true cost of delays at scale,” Foresight, April 2023, accessed: Apr. 15, 2026. [Online]. Available: <https://www.foresight.works/blog/the-true-cost-of-delays-at-scale>
- [33] UK Department for Transport, “Updating the evidence behind the optimism bias uplifts for transport appraisals,” May 2021, accessed: May 3, 2026. [Online]. Available: <https://assets.publishing.service.gov.uk/media/6093d448e90e0726f52fc54c/updating-the-evidence-behind-the-optimism-bias-uplifts-for-transport-appraisals.pdf>
- [34] N. Bruzelius, B. Flyvbjerg, and W. Rothengatter, “Big decisions, big risks: Improving accountability in mega projects,” *International Review of Administrative Sciences*, vol. 64, no. 3, pp. 423–440, September 1998, accessed: Apr. 15, 2026. [Online]. Available: https://papers.ssrn.com/sol3/papers.cfm?abstract_id=2719896
- [35] Allied Venture Partners, “Milestone-based VC funding explained,” Allied Venture Partners, December 2025, accessed: Apr. 15, 2026. [Online]. Available: <https://www.allied.vc/guides/milestone-based-vc-funding-explained>
- [36] M. Wachs, M. Chung, M. Garrett, H. King, R. Lu, M. Manville, M. Sather, and B. D. Taylor, “A taxing proposition: A century of ballot box transportation planning in Los Angeles,” UCLA Institute of Transportation Studies, Report, 2018, accessed: Apr. 15, 2026. [Online]. Available: <https://escholarship.org/uc/item/94c8b1rr>
- [37] ABC7/NBC LA Staff, “\$400M settlement approved for LAX people mover disputes,” ABC7 Los Angeles / NBC Los Angeles, July 2024. [Online]. Available: <https://abc7.com>
- [38] Insider LA Staff, “LAX people mover dispute costs reach \$200M,” Insider LA, 2024. [Online]. Available: <https://insidela.com>
- [39] LAist Staff, “LAX people mover is \$880M more expensive than its original \$1.9B price tag,” LAist, October 2025. [Online]. Available: <https://laist.com>
- [40] Fox 11 Staff, “LAX Automated People Mover: No opening date announced,” Fox 11 Los Angeles, March 2026. [Online]. Available: <https://www.foxla.com>

